

the so-called authorities on investment, there is still enough lack of agreement on the basic principles involved that it is as yet impossible to have schools for training investment experts comparable to the recognized schools for teaching law or medicine. This makes even more remote the practicability of government authorities licensing those having the necessary background of knowledge to guide others in investments in a manner comparable to the way our states license the practicing of law or medicine. It is true that many of our states do go through the form of licensing investment advisors. However in such instances only known dishonesty or financial insolvency, rather than a lack of training or skill, provides the basis for denying a license.

All this probably results in a higher percentage of incompetence among financial advisors than may exist in fields such as law and medicine. However, there are compensating factors that can enable an individual with no personal expertness in investments to pick a capable financial advisor more easily than a comparably outstanding doctor or lawyer. Finding out which physician had lost the smallest percentage of his practice through deaths would not be a good way to pick a superb doctor. Neither would a corresponding box score of cases won and lost show the relative skill of attorneys. Fortunately, most medical treatments are not matters of immediate life or death, and a good lawyer will frequently avoid going into litigation at all.

In the investment advisor's case it is quite different, however. There is a score board that, after enough time has elapsed, should pretty much reflect that advisor's investment skill. In occasional cases it may take as much as five years for investments to demonstrate their real merit. Usually it does not take that long. It would normally be fool-hardy for anyone to entrust his savings to the skill of a so-called advisor who, working either for himself or others, had less than five years experience. Therefore, in the case of investments, there is no reason why those trying to pick a professional advisor should not demand to see a fair cross-section of results obtained for others. Those results, compared to a record of security prices for the same period of time, give a real clue to the advisor's ability.

Two more steps are then necessary before an investor should make final determination of the individual or organization to which he will delegate the important responsibility for his funds. One is the obvious step of being